

Kauffman also recognized that current PE contracts are misaligned. The industry should change them to reduce management fees and put most of the compensation where it belongs—in the incentive fees.

4.7. SUMMARY

PE contracts today tend to exacerbate, rather than ameliorate, agency problems. Fees are exorbitant, and management fees unfortunately dominate incentive fees. Some skilled investors do well in PE, but most underperform.

Asset owners are gradually realizing that these contracts put them at a horrendous disadvantage. The Kauffman report said:

A well-regarded GP of a perceived top-tier VC fund told us that “LPs have no leverage” to obtain firm economics. We suggested that LPs do have leverage—the same leverage that VCs have when they can’t reach agreement on terms with a potential portfolio company—we can walk away. “Yes,” he said, “but LPs never walk away.”

Walk away.

5. South Carolina Retirement Systems Redux

While reforming South Carolina’s pension fund PE investments, Loftis should keep several things in mind:

1. The standard reporting benchmarks used in the PE industry can be very misleading and invariably make PE investments look better than they truly are.
2. The average asset owner does not do well in PE investments. Academic evidence suggests that, on average, PE underperforms public equity on a risk-adjusted basis. Don’t think about PE as an asset class: it is public equity made expensive and shackled by serious agency issues.
3. PE contracts are terrible for asset owners. Simplify, reduce management fees (while boosting incentive fees), and benchmark properly. Agency issues are the number-one concern in PE investing.

If you are truly skilled, like Swensen, the world of PE brings great opportunities. But if you are not like Swensen, you will be duped.